INVESTORIQ

124 Richmond Street Screening 5

Sensitized

12 Units | NOI $72,170 | Expense Ratio 62.6% | NOI Margin 37.4%

ASSET CLASS	**Multifamily – 12 Units**
DOCUMENTS	2 uploaded files
REPORT TIER	**Preliminary Screening**

Executive Summary

Deal overview, operating profile, and primary risk drivers

12-Unit Multifamily

SCREENING SIGNAL

Sensitized

Primary Pressure Point: Expense Ratio (62.6%)

Operating profile classified as SENSITIZED: elevated operating expense burden (62.6%) breaches the sensitized threshold; compressed NOI margin (37.4%) breaches the sensitized threshold.

KEY METRICS SNAPSHOT

UNITS

12

OCCUPANCY

100.0%

ANNUAL IN-PLACE RENT

$186,780

EFFECTIVE GROSS INCOME

$192,960

OPERATING EXPENSES

$120,790

NET OPERATING INCOME

$72,170

EXPENSE RATIO

62.6% (Sensitized)

NOI MARGIN

37.4% (Sensitized)

BREAK-EVEN OCCUPANCY

62.6% (Stable)

KEY UPSIDE DRIVERS

- In-place rents trail market by ~17.4% (observed rent gap).
- Occupancy is 100.0%, reflecting fully stabilized in-place tenancy.
- Operating cushion of 37.4% above break-even occupancy based on in-place performance.

PRIMARY CONSTRAINTS

- Expense ratio is 62.6%, pressuring NOI margin.
- NOI margin is 37.4%, leaving limited buffer for shocks.

RANKED DRIVERS (WORST → BEST)

1. Expense Ratio: 62.6% (trigger: >= 55.0% sensitized threshold breached)
2. NOI Margin: 37.4% (trigger: <= 45.0% sensitized threshold breached)
3. Break-even Occupancy: 62.6% (trigger: < 75.0% within stable range)

CLASSIFICATION FRAMEWORK

TIER	EXPENSE RATIO	NOI MARGIN	BREAK-EVEN OCC.
Stable	< 55%	> 45%	< 75%
Sensitized ▶	**55-65%**	**35-45%**	**75-85%**
Fragile	> 65%	< 35%	> 85%

Standardized underwriting thresholds. ▶ = current classification.

OPERATING SUMMARY

The property is 100.0% occupied and carries reported rent-to-market upside of 17.4%. NOI margin compression to 37.4%, primarily attributable to a 62.6% expense ratio, supports a Sensitized classification. Operating improvement sensitivity is tied to expense-ratio reduction and the observed rent-to-market gap.

All statements derive from reported metrics and standardized classification thresholds. No forward-looking projections.

Unit-Level Rent Positioning & Value Sensitivity

Market-rent gap and implied value sensitivity

UNIT MIX AND RENT POSITIONING

UNIT TYPE	COUNT	AVG SQ FT	AVG IN-PLACE RENT	DOCUMENTED MARKET RENT	MONTHLY RENT GAP
1 Bed	6	613	$1,173	$1,395	$222
2 Bed	6	823	$1,422	$1,650	$228

RENT POSITIONING SUMMARY

Rent roll data indicates in-place rents are below market across the current unit mix.

Operating Statement (Trailing Twelve Months)

Operating summary based on uploaded financials

NET OPERATING INCOME SUMMARY

METRIC	VALUE
Effective Gross Income (TTM)	**$192,960**
Total Operating Expenses (TTM)	**$120,790**
Net Operating Income (TTM)	**$72,170**
Operating Expense Ratio	**62.6%**
EGI per Unit (TTM)	$16,080
OpEx per Unit (TTM)	$10,066
NOI per Unit (TTM)	$6,014

Operating Profile

Occupancy, rent level, and operating summary

OPERATING PROFILE SUMMARY

Occupancy of 100.0% and annual in-place rent of $186,780. Total operating expenses of $120,790 and an expense ratio of 62.6%. NOI of $72,170, reflecting an NOI margin of 37.4%. Rent roll data supports below-market in-place rents across the current unit mix.

Rent Roll Distribution

Occupancy, rent dispersion, and unit mix profile

METRIC	VALUE
Total Units	12
Occupied Units	12
Occupancy	100.0%
Weighted Avg In-Place Rent	$1,297
Weighted Avg Market Rent	$1,523
Market Rent Gap (Avg)	17.4%
Annual In-Place Rent (Total)	$186,780
Annual Market Rent (Total)	$219,240

RENT BANDS (IN-PLACE)

UNIT TYPE	UNITS	AVG IN-PLACE	AVG MARKET	GAP ($)	GAP (%)
1 Bed	6	$1,173	$1,395	$222	19.0%
2 Bed	6	$1,422	$1,650	$228	16.1%

Data Coverage & Screening Notes

Missing inputs and omitted sections

CORE INPUT COVERAGE CONFIRMED: T12 and Rent Roll Fully Verified.

All required screening inputs were fully extracted from uploaded documents.

DATASET	FIELDS PRESENT	COVERAGE	MISSING
T12 Operating Statement	4/4	**100.0%**	None
Rent Roll	4/4	**100.0%**	None

Methodology & Data Transparency

Assumptions, methodology notes, and data limitations

InvestorIQ does not assume or gap-fill missing data. Outputs are primarily attributable to uploaded documents and defined modeling frameworks, with transparency and auditability as core design principles.

Outputs are document-backed and framework-constrained. Missing inputs are not inferred.

InvestorIQ Estimates

InvestorIQ estimates are document-backed and framework-constrained, using uploaded documents and standardized underwriting frameworks. When required inputs are missing, those estimates are omitted rather than inferred.

Methodology Notes

Metrics and tables reflect document-backed inputs, deterministic calculations, and framework-constrained outputs. Missing source data is not gap-filled.

Data Limitations & Missing Inputs

This memorandum is limited to the documents provided and the fields that could be verified. Missing values are disclosed and excluded from analysis.